

THE SESSION • POST-CLOSE READ

The Second *Read*

A day after selling the Federal Reserve's first rate increase since 2023, stocks took a second look: the 10-year yield slipped back below 5%, Brent eased to about \$104, and semiconductors led the S&P 500 up 1.13% and the Nasdaq 1.68%. The Growth Portfolio beat IUSG; the Dividend Strategy rose but trailed both marks.

S&P 500 ▲ 1.13%

NASDAQ ▲ 1.68%

DOW ▲ 0.61%

VIX 15.4

BRENT ▼ \$104

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

+0.38%

1-DAY

FCI		+0.38%
DVY		+0.72%
SPY		+1.15%

YTD +18.92% vs DVY +15.85% · SPY +12.44%

GROWTH PORTFOLIO

▲ BEAT IUSG

+1.75%

1-DAY

FCI		+1.75%
IUSG		+1.48%

YTD +21.38% vs IUSG +13.59%

THE SESSION

One day after selling the press conference, the market reread the decision and found it could live with it. Nothing about the policy changed overnight — the funds target is still 3.75–4.00% and the projections still show one more increase this year — but the two inputs that had made the hike feel heavier both eased. The 10-year Treasury yield, which reached 5.04% on Wednesday, slipped back below 5% to about 4.95%, ending what Bloomberg counted as an eight-session climb. Brent fell for a second session, to about \$104, as Saudi Arabia offered additional crude cargoes to Asian refiners through ship-to-ship transfers near Oman and worked to restore its damaged East-West pipeline. The S&P 500 rose 1.13% to 7,637 and the Nasdaq 1.68%, each more than recovering Wednesday's decline; the Dow added 0.61%, or 316 points, about half of the 631 it lost. The VIX fell back to 15.4. The morning's data suited the tape: initial jobless claims fell to 196,000 against the 207,000 expected, while August housing starts dropped 2.6% to a 1.275 million annual rate and permits slipped 2.7% — a firm labor market alongside a rate-sensitive sector already feeling the cost of money. Leadership was familiar. Semiconductors rose for a third straight session, a closely watched chip index gaining about 3%, and gold climbed.

For the Dividend Strategy, +0.38% was a gain that trailed both marks: DVY rose 0.72% and SPY 1.15%, leaving the sleeve 0.34 points behind the first and 0.77 behind the second. It is the mirror of Wednesday, when the same steadier holdings cushioned the decline. The cyclical and chip-adjacent names participated — Steel Dynamics +2.99%, TE Connectivity +2.15%, Qualcomm +2.09%, Caterpillar +2.04%, NatWest +1.77%, and Nutrien +1.62% — and the power names firmed with yields lower, Constellation +1.26% and NextEra +1.12%. But the defensives that had drawn a bid on the day of the hike gave it back: Stryker -1.62%, General Dynamics -1.13%, Old Republic -1.00%, PACCAR -0.73%, S&P Global -0.65%, SS&C -0.63%, and Church & Dwight -0.49%. Lam Research, the sleeve's most direct semiconductor-equipment holding, opened about 4% higher with the chip group and closed at +0.03%, so the day's leadership largely passed the sleeve by. A portfolio built to fall less on Wednesday will usually rise less on Thursday; across the two sessions the sleeve is -0.02% against DVY's -0.61% and SPY's +0.70%.

Wednesday's decline and Thursday's advance were about the same fact. The fact did not change overnight; the mood did. Owners are paid by their businesses, not by the mood.

The Growth Portfolio gained 1.75% against IUSG's 1.48%, a 0.27-point lead that exactly reverses Wednesday's 0.27-point shortfall. AMD led at +6.36% after Piper Sandler reaffirmed its Overweight rating and \$600 target following a call in which management said demand for both CPUs and GPUs continues to exceed supply. Marvell rose 4.81% on an expanded capacity agreement with GlobalFoundries, Credo 4.19%, NXP 4.10%, more than recovering Wednesday's ex-dividend decline, TSM 2.94%, and Keysight 2.90%; Nvidia added 2.54% after Jensen Huang told reporters in Scotland, per CNBC, that he expects the company to sell twice as many chips next year as this year. The second theme was regulatory: the SEC opened a five-year conditional path for tokenized stocks, and Robinhood rose 5.16%, recovering most of

Wednesday's decline, with MARA +5.43% and Hut 8 +1.30% alongside. Agnico Eagle gained 3.01% with gold and Freeport 2.30%; Vista added 2.25%. The energy names held their ground with crude lower — Chevron +0.03%, ONEOK +0.59%, CNX -0.56%. Against the tape, Pagaya fell 4.99% on no company catalyst, giving back more than Wednesday's gain as the consumer-credit names lagged again (SoFi -0.65%, Synchrony -0.61%), and ServiceNow slipped 0.94% as software sat out the chip-led advance. The digital-asset ETFs firmed, IBIT +0.60% and ETHA +1.76%. On the year, the Dividend Strategy stands at +18.92% against DVY's +15.85%, a +3.07-point spread, and the Growth Portfolio at +21.38% against IUSG's +13.59%, a +7.79-point spread.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

AMD +6.36%

GROWTH

Led semiconductors higher for a third straight session. Piper Sandler reaffirmed its Overweight rating and \$600 target after a Sept. 15 call in which management said CPU and GPU demand continues to exceed supply. Closed at \$545.09.

MARA +5.43%

GROWTH

No company-specific announcement; crypto-linked equities rallied after the SEC's tokenized-stock order, with bitcoin firmer on the day (IBIT +0.60%).

HOOD +5.16%

GROWTH

The SEC issued a five-year conditional exemption allowing designated venues to trade tokenized U.S. stocks; Robinhood said this week it will add one-for-one redemption and voting rights to its stock tokens. Recovered most of Wednesday's decline.

MRVL +4.81%

GROWTH

Expanded its multi-year agreement with GlobalFoundries to add silicon-germanium capacity in Burlington, Vermont, for the optical links used in AI data centers.

CRDO +4.19%

GROWTH

Second straight gain with the AI-connectivity group; the Marvell–GlobalFoundries capacity agreement underscored demand for high-speed interconnect. No company-specific announcement.

DECLINERS

PGY -4.99%

GROWTH

No company-specific catalyst; the company named payments veteran Jason Gardner to its board. Opened at \$22.15 and closed near the low at \$20.56, giving back more than Wednesday's gain as consumer-credit names lagged.

SYK -1.62%

DIVIDEND

Gave back Wednesday's defensive bid. Shares have been under pressure since the CFO said on Sept. 8 that peripheral-vascular supply constraints will run into the fourth quarter; 2026 organic growth guidance of 8.3–9.3% was maintained.

GD -1.13%

DIVIDEND

No company-specific announcement; opened near the session high and closed at \$355.93, lagging a technology-led advance.

ORI -1.00%

DIVIDEND

No company-specific announcement; opened at the session high of \$41.04 and closed near the low at \$40.49.

NOW -0.94%

GROWTH

Software sat out the chip-led advance; CNBC noted software and cybersecurity names were weaker before the bell on continued concern about AI disruption.

HOLDINGS NEWS

SEC opens a five-year path for tokenized stocks. The Securities and Exchange Commission on Thursday issued what it calls an Innovation Exemption: five years of conditional relief from exchange-registration requirements for designated venues that trade tokenized versions of U.S. stocks, effective immediately and subject to volume limits. Two conditions carry the weight. Tokens must give holders the same rights as the underlying shares, including dividends and votes, and issuers can object — a platform must notify the company and wait 30 days, and an objection keeps the token from trading. The order arrived two days after the CLARITY Act failed to advance in the Senate, with the Commission building what it can under existing authority. Robinhood, which like Coinbase and Kraken has offered tokenized equities only outside the United States, said this week it will let token holders redeem one-for-one for the underlying shares and will add voting rights. The shares rose 5.16% to \$109.81, recovering most of

Wednesday's 5.46% decline. The exemption opens a regulated channel; it does not by itself confer a license or revenue, and the operating work is still ahead.

Marvell secures more optical capacity at GlobalFoundries.

Marvell and GlobalFoundries announced an expanded multi-year agreement to increase capacity for GlobalFoundries' silicon-germanium technology at its Burlington, Vermont, facility. Silicon-germanium is used in the high-speed optical links — pluggable transceivers, near-packaged and co-packaged optics — that move data between processors in AI data centers, where the interconnect has become as much a constraint as the accelerator. Marvell's head of foundry technology said the added capacity is intended to support the growth the company sees ahead; the agreement builds on more than a decade of work between the two. Marvell rose 4.81% to \$240.76. The read-through extends to Credo (+4.19%), which sells into the same interconnect build-out: when a supplier commits to capacity years forward, it is describing its order book, not the week's sentiment.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.92%

vs DVY +15.85% / SPY +12.44%

Spread vs DVY +3.07 pts

GROWTH PORTFOLIO

+21.38%

vs IUSG +13.59%

Spread vs IUSG +7.79 pts